

Segment = 2

Exercise 1.6:-

ABC Company

Transaction Analysis

For the year ended -----

Asset (\$)					Liability (\$) + Owners Equity (\$)		Notes
Cash	A/R	Furniture	Land	O/S	A/P	C+I-E-D	
a. 1800						1800	Capital
b.	650					650	Revenue
c.		500			500		
d. 400 (-400)							
e. (-250)					(-250)		
f. 12000			(-12000)				
g. (-90)				90			
h. 2000						2000	Revenue
i. (-700)						(-700)	Expense
Total = 15160	250	500	(-12000)	90	250	3750	
4000					4000		

ABC Company
Income statement
For the year ended —

Particulars	(\$)
Revenue:	
Service Revenue	2650
(-) Expense :-	(-700)
Net income	1950

ABC Company
Owner's Equity Statement
For the year ended —

Particulars	(\$)
Previous Capital	0
(+) New capital	1800
(+) Net income	1950
(-) withdrew	0
Total Owner's Equity	3750

ABC Company

Balance Sheet

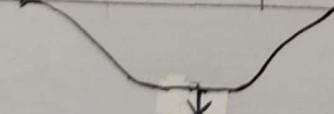
For the year ended _____

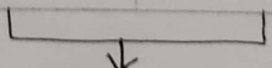
Asset (\$)	Liabilities (\$)
Cash → 15160	A/P → 250
A/R → 250	Owners Equity (\$)
Furniture → 500	Total Owners equity → 3750
Land → (-12000)	Total Liabilities & Owners equity → 4000
O/S → 90	
Total Assets → 4000	

Exercise-1.7Allison LaChappelle Medical
Transaction Analysis

For the month ended January

	Asset (\$)			= Liability (\$) + O. Equity (\$)		
Date	Cash	Land	Medical Supplies	A/P	C+I-E-D	Notes
Jan-6	120,000				120,000	Capital
Jan-9	(-90,000)	90,000				
Jan-12			2,000	2,000		
Jan-15	N/T					
Jan-15-31	6,000				6,000	Revenue
Jan-15-31	(-2,700)				(-2,700)	Expense
Jan-28	+500		(-500)			
Jan-31	(-1,500)			(-1,500)		
Total	32,300	90,000	1,500	500	123,300	


 123,800


 123,800

Allison LaChappelle Medical
Income statement
For the month ended January.

Particulars	(\$)
Revenue: (+)	
Service Revenue	6000
Expense (-):	(-2700)
Net income	3300

Allison LaChappelle Medical
O. Equity statement
For the month ended January

Particulars	(\$)
Previous Capital (+)	0
New capital (+)	120,000
Net Income (+)	3300
Withdrawal (-)	0
T. O. equity →	123300

Allison LaChappelle Medical
~~Transaction Analysis~~ Balance Sheet
 For the month ended January

Asset	Liability
Cash → 32300	A/P → 500
Land → 90000	
Medical Supplies → 1500	O. Equity
Total Asset → 123800	Total O. Equity → 123300
Total Asset → 123800	Total Liability & O. Equity → 123800

Problem - 1.5(A):

Xerox Corporation
Transaction Analysis
For the month ended January
(thousands)

Asset (\$)					Liability (\$) + O. Equity (\$)				
Cash	A/R	inventories	Land & Equipment	Other	N/P	A/P	other	C+I-E-D	Notes
Bal → 266600	1466900	1469800	2659700	3953700	1985500	390300	2107600	5333300	
a. 160								160	Capital
b.		400				400			
c. (-136)						(-136)			
d.	670		(-670)						
e. N/T									
f. (+550)					(+550)				
g. (-380)			(380)						
h. 289	(-289)								
i.			119					119	Capital
Total: 267083	1467281	1470200	2659529	3953700	1986050	390564	2107600	5333579	
9817793					9817793				

Xerox Corporation
Income Statement
For the month ended January

Particulars	(\\$)
(+) Revenue:	
Service Revenue	0
(-) Expense:	
office expense	0
Net income →	0

Xerox Corporation
Owner's Equity Statement
For the month ended January

Particulars	(\\$)
(+) Previous Capital	5333300
(+) New capital	279
(+) Net income	0
(-) withdrew	0
Total Owner's equity →	5333579

Xerox Corporation
Balance Sheet
For the month ended January

Asset	Liability
Cash → 267083	N/P → 1986050
A/R → 1467281	A/P → 390,564
Inventories → 1470200	Others → 2107600
Equipment → 2659529	Total Liability →
Others → 3953700	4484214
Total assets →	Total Owner's Equity →
9817793	5333579
	Total Liabilities & Owner's
	equity → 9817793

Problem - 1.8 (A)

Starz Designers
Transaction Analysis
For the Month May, 19X5

Assets				Liabilities + O. Equity		
Cash	A/R	Supplies	Land	A/P	C+I-E-D	Notes
Bal → 720	2240	.	23100	4400	21660	.
a. 12000					12,000	Capital
b. (-4400)				(-4400)		
c. 1100					1100	Revenue
d. 750	(-750)					
e.		120				
f.	5000				5000	Revenue
g. 1700					1700	Capital
h. (-1200)					-1200	Expense
(-860)					-860	
i. 80		-80				
j. (-2400)					-2400	Withdrawal
7490	6490	40	23100	120	37000	
37120				37120		

Starz Designers
Income Statement
For the Month May, 19x5

Particulars	(£)
(+) Revenue :- Service Revenue	6100
(-) Expense :- office expense	2060
Net income →	4040

Starz Designers
Owner's Equity Statement
For the month May, 19x5

Particulars	(£)
(+) Previous capital	21660
(+) New capital	13700
(+) Net income	4040
(-) Withdrawal	2400
Total Owner's equity →	37000

Starr Designers
Balance Sheet
For the month May, 19x5

Asset	Liability
Cash → 7490	A/P → 120
A/R → 6490	Total owners equity →
Supplies → 40	37000
Land → 23100	Total Owners & Equity
Total Asset → 37120	Liability → 37120

Problem- 1.2 (B)

Melvin Dexterz, Attorney

Transaction Analysis

For the first month operation

Asset (\$)					Liability (\$) + Owner's Equity (\$)		
Date: May	Cash	A/R	Stationery	Furniture	A/p	C+I-E-W	Notes
4	N/T						
5	50,000					50,000	Capital
6	(-300)		300			(-300)	Stationery expense
7				5000	5000		
10	N/T						
11	N/T						
12	N/T						
29		4000				4000	Revenue
30	-1000					-1000	Expense
31	-2000					-2000	withdraw
Total:	46700	4000	300	5000	5000	50700	
55,700					55,700		

Problem -1.5B

Levi Strauss & Company

Transaction Analysis

For the Month November, 19X2

(Thousands)

Asset						Liability + O. Equity				Notes
No.	Cash	A/R	Inventories	Equipment	Others	N/P	A/P	Other liabilities	C+I-E-D	
Bal →	263389	339,798	387660	330455	99800	83361	229453	300,847	807441	
a.	18								18	Capital
b.				90					90	Capital
c.	+100					+100				
d.	-125			125						
e.			90				90			
f.	(-54)						(-54)			
g.		14		-14						
h.	N/T									
i.	84	(-84)								
Total	263412	339778	387750	330656	99800	83461	229488	300,847	807549	
1421346						1421346				

* Segment → 3 *

Exercise - 2.3:

Vines Consulting Service

Journal

For the Month March, 19X3

Date	Particulars	Ref.	Debit(\$)	Credit(\$)
Mar-1	Cash a/c Capital a/c [∴ Owner's investment]		65,000	65,000
Mar-2	Office Supplies Account payable [∴ Purchased office supplies]		200	200
Mar-4	Land for building cash [∴ Land for future building site]		25,000	25,000
Mar-6	Cash Revenue [∴ performed service]		2,000	2,000
Mar-9	Account payable cash [∴ paid cash on account]		100	100
Mar-17	Account Receivable Revenue a/c [∴ performed service]		1,600	1,600
Mar-23	Cash a/c A/R [∴ Received cash on account]		1,200	1,200
Mar-31	Rent expense Salary expense cash [∴ Rent, salary expense]		500 1200	1700

Exercise - 2.10 :

Albert Pena Accounting Firm

Journal
For the Month

No.	Particulars	Ref	Debit	Credit
	Cash a/c		8800	
a.	Office Furniture		7400	
	Capital a/c [:: owner's investment]			16200
	Rent (expense)		1500	
b.	Cash a/c			1500
	[:: paid rent]			
	Office supplies		800	
c.	Account payable			800
	[:: Purchased office supplies]			
	Salary (expense)		1800	
d.	Cash a/c			1800
	[:: paid employee salary]			
	Account payable		400	
e.	Cash a/c			400
	[:: paid account payable]			
	Account Receivable		1700	
f.	Accounting service			1700
	[:: performed service]			
	Withdraw		2000	
g.	Cash a/c			2000
	[:: Withdraw for personal use]			

Problem : 2.2 A →

Lee Quinius, M.D

Journal

For the month ended April

Date	Particulars	Ref.	Debit	Credit
April-1	Cash a/c Capital a/c [∴ deposited in business bank account]		75,000	75,000
April-5	Rent on medical Equipment (expense) Cash a/c [∴ paid rent]		700	700
April-9	Land Cash a/c [∴ Land for an office site]		42,000	42,000
April-10	Supplies A/p [∴ purchased supplies on account]		1,200	1,200
April-19	Account payable Cash [∴ paid on account]		1,000	1,000
April-30	Cash a/c A/R Service Revenue [∴ Revenue earned]		6000 5000	11,000
April-30	Salaries Office rent Utilities Cash [∴ paid expenses]		2400 1500 400	4300
April-30	Cash a/c Note payable [∴ borrowed cash from bank]		20,000	20,000
April-30	Withdrawal Cash a/c [∴ withdraw from business]		4000	4000

Lee Quinius M-D
Ledger
For the month ended, April

Asset (\$)		Liability (\$) + O. Equity (\$)	
dr.	Cash	cr.	
1 → 75,000		5 → 700	
30 → 6,000		9 → 42,000	
30 → 20,000		19 → 1,000	
Bal → 49,000		30 → 4300	
		30 → 4000	
dr.	Land	cr.	
9 → 42,000			
Bal → 42,000			
dr.	Supplies	cr.	
10 → 1200			
Bal → 1200			
dr.	A/R	cr.	
30 → 5000			
Bal → 5000			
		dr.	A/P
		cr.	
		19 → 1000	
		10 → 1200	
		Bal → 200	
		dr.	N/P
		cr.	
		30 → 20,000	
		Bal → 20,000	
		dr.	Capital
		cr.	
		1 → 75,000	
		Bal → 75,000	
		dr.	Revenue
		cr.	
		30 → 11,000	
		Bal → 11,000	
		dr.	Expense
		cr.	
		5 → 700	
		30 → 2400	
		1500	
		400	
		Bal → 5000	
		dr.	Withdraw
		cr.	
		30 → 4000	
		Bal → 4000	

Lee Quinius M.D

Trial Balance

For the month ended April

SL.	Account Title	Ref.	Debit(\$)	Credit(\$)
1.	Cash		49,000	
2.	Land		42,000	
3.	Supplies		1,200	
4.	A/R		5,000	
5.	A/P			200
6.	N/P			20,000
7.	Capital			75,000
8.	Revenue			11,000
9.	Expense		5,000	
10.	Withdraw		4,000	
Total:			106,200	106,200

Problem - 2.3A

Marie Haley Attorney
Journal
For the month ended January

Date	Particulars	Ref.	Debit (\$)	Credit (\$)
Jan-2	Cash a/c (Bank account) Capital [∴ deposited cash in Bank account]		40,000	40,000
Jan-3	Supplies Furniture A/P [∴ purchased on account]		500 2600	3100
Jan-4	Cash a/c Revenue [∴ performed legal service]		1500	1500
Jan-7	Land Cash a/c [∴ paid cash for Land]		22000	22000
Jan-11	A/R Revenue [∴ performed service]		800	800
Jan-15	Salary Cash a/c [∴ paid salary]		650	650
Jan-16	A/P Cash a/c [∴ paid furniture purchased on account]		2600	2600
Jan-17	Telephone bill Cash [∴ paid bill]		110	110

Date	Particulars	ref	Debit(\$)	Credit(\$)
Jan-18	Cash A/R [∴ Received payment]		400	400
Jan-19	A/R Service Revenue [∴ prepared legal documents]		600	600
Jan-22	Water & electricity bill Cash [∴ paid bill]		130	130
Jan-29	Cash Revenue [∴ Received cash for helping client]		1800	1800
Jan-31	Secretary bill Cash [∴ paid bill]		650	650
Jan-31	Rent expense Cash [paid rent expense]		700	700
Jan-31	Withdraw Cash [∴ withdraw for personal use]		2200	2200

Marie Haley, Attorney

Ledger

For the month ended January

Asset (\$)

dr	Cash	cr
2 → 40,000		7 → 22,000
4 → 1500		15 → 650
18 → 400		16 → 2600
29 → 1800		17 → 110
		22 → 130
		31 → 650
		31 → 700
		31 → 22,000
Bal → 14660		

Land
7 → 22,000
Bal → 22,000

A/R
11 → 800
19 → 600
Bal → 1000

Supplies
3 → 500
Bal → 500

Furniture
3 → 2600
Bal → 2600

Liability (\$) + Equity (\$)

A/P
16 → 2600
3 → 3100
Bal → 500

Capital
2 → 40,000
Bal → 40,000

Revenue
4 → 1500
11 → 800
19 → 600
29 → 1800
Bal → 4700

Expense
15 → 650
17 → 110
22 → 130
31 → 650
31 → 700
Bal → 2240

Withdraw
31 → 2200
Bal → 2200

Marie Haley, Attorney
 Trial Balance
 For the month ended January

SL	Account Title	Ref.	Debit (\$)	Credit (\$)
1.	Cash		14660	
2.	Land		22,000	
3.	A/R		1000	
4.	Supplies		500	
5.	Furniture		2600	
6.	A/p			500
7.	Capital			40,000
8.	Revenue			4700
9.	Expense		2240	
10	Withdraw		2200	
Total →			45200	45200

Problem - 2.5 A

Steakley Delivery Service

Journal

For the month of May ended

No.	Particulars	Ref.	Debit (\$)	Credit (\$)
a.	Cash Delivery truck Capital [∴ deposited cash in bank account.]		3500 8000	11500
b.	Expense A/P [∴ purchased for fuel for delivery truck]		40	40
c.	Supplies Cash [∴ paid for supplies]		100	100
d.	Cash Revenue [∴ completed a delivery job]		700	700
e.	A/R Revenue [∴ performed delivery service]		3200	3200
f.	Leaflets (expense) Cash [∴ purchased leaflets]		200	200
g.	Office manager Salary Cash [paid salary]		950	950
h.	Cash Revenue [∴ performing delivery service]		1000	1000
i.	Cash A/R [∴ received cash from customer]		1800	1800
j.	Office furniture A/P [∴ purchased office furniture]		600	600
k.	Office Utility bills Cash [∴ paid bills]		120	120

NO.	Particulars	Ref	Debit(\$)	Credit(\$)
l.	Fuel expense A/P [∴ purchased fuel on account]		70	70
m.	A/R Revenue [∴ completed delivery job]		100	100
n.	A/P Cash [∴ paid cash to creditor on account]		200	200
o.	Expense Cash [∴ repair to the delivery truck]		250	250
p.	Salary rent Cash [∴ paid rent & salary]		950 250	1200
q.	Withdraw Cash [∴ personal use]		1900	1900

Steakley Delivery Service

Ledger

For the month of May ended

Asset (\$)

Dr	Cash	Cr
a. 3500	c. 100	
d. 700	f. 200	
h. 1000	g. 950	
i. 1800	k. 120	
	n. 200	
	o. 250	
	p. 1200	
	q. 1900	
Bal → 2080		

A/R

e. 3200	l. 1800
m. 100	
Bal → 1500	

Truck

a. 8000
Bal → 8000

Supplies

c. 100
Bal → 100

Furniture

j. 600
Bal → 600

Liability (\$) + Equity (\$)

A/P

n. 200	b. 40
	j. 600
	l. 70
	Bal → 510

Capital

a. 11500
Bal → 11500

Revenue

d. 700
e. 3200
h. 1000
m. 100
Bal → 5000

Expense

b. 40
f. 200
g. 950
k. 120
l. 70
o. 250
p. 1200
Bal → 2830

Withdraw

q. 1900
Bal → 1900

Steakley Delivery Service

Trial Balance

For the month of May ended.

SL	Account Tittle	Ref	Debit (\$)	Credit (\$)
1.	Cash		2080	
2.	Truck		8000	
3.	A/R		1500	
4.	Supplies		100	
5.	Furniture		600	
6.	A/P			510
7.	Capital			11500
8.	Revenue			5000
9.	Withdraw		1900	
10.	Expense		2830	
	Total:		17010	17010

Problem : 2.7 (A) :-

Ken Mazanec Cable Television Service

Journal

For the month ended —

No.	Particulars	Ref	Debit(\$)	Credit(\$)
a.	Cash Building capital [∴ Owner's investment]		30,000 50,000	80,000
b.	Cash Note payable [∴ Bank loan]		25,000	25,000
c.	Equipment Cash [∴ paid for equipment]		32,000	32,000
d.	Office supplies A/P [∴ purchased office supplies]		400	400
e.	Salary Cash [paid employee salary]		1,300	1,300
f.	Cash Revenue [Received cash for service]		500	500
g.	A/R Revenue [∴ sold cable and service]		2,300	2,300
h.	A/P Cash [∴ paid account payable]		100	100
i.	Utility expense A/P [∴ Received bill for utility expense]		600	600
j.	Cash A/R [∴ Received cash on account]		1,100	1,100

No.	Particulars	Ref.	Debit	Credit
K	Rent Advertising cash [∴ paid expense]		1000 800	1800
L	Withdraw cash [∴ withdraw cash]		2600	2600

Ken Mazance Cable Television Service
Ledger
For the month ended - - -

Asset (\$)		Liability (\$) + Owner's Equity (\$)	
dr. Cash cr. a. 30,000 b. 25,000 f. 500 j. 1100 Bal → 18800 cr. c. 32,000 e. 1300 h. 100 k. 1800 l. 2600		dr. A/P cr. h. 100 d. 400 i. 600 Bal → 900	
dr. Building cr. a. 50,000 Bal → 50,000	dr. Equipment cr. c. 32,000 Bal → 32,000	dr. N/P cr. b. 25000 Bal → 25000	dr. Capital cr. a. 80000 Bal → 80000
dr. A/R cr. g. 2300 Bal → 1200	dr. j. 1100 cr. j. 1100	dr. Withdrew cr. l. 2600 Bal → 2600	dr. Service Revenue cr. f. 500 g. 2300 Bal → 2800
dr. Office supplies cr. d. 400 Bal → 400		dr. Salary cr. e. 1300 Bal → 1300	dr. Utilities cr. i. 600 Bal → 600
		dr. Rent cr. k. 1000 Bal → 1000	dr. Advertising cr. k. 800 Bal → 800

Ken Mazanec Cable Television Service
 Trial Balance
 For the month ended - -

SL.	Account Tittle	Ref	Debit(\$)	Credit(\$)
1.	cash		18800	
2.	Building		50,000	
3.	A/R		1200	
4.	office supplies		400	
5.	Equipment		32,000	
6.	Capital			80000
7.	A/R			900
8.	N/P			25000
9.	Service Revenue			2800
10.	Salary		1300	
11.	Utilities		600	
12.	Rent		1000	
13.	Advertising		800	
14.	Withdrew		2600	
	Total →		108700	108700